

FEDERAL MARITIME COMMISSION

REVOCATION OF EXEMPTION FROM
46 U.S.C. § 40703 GRANTED TO
SINOTRANS CONTAINER LINES CO., LTD.

Docket No. 25-17

Served: August 21, 2025

BY THE COMMISSION: Rebecca F. DYE,
Daniel B. MAFFEI, Max M. VEKICH, *Commissioners.*

Order Revoking Exemption

On April 1, 2004, pursuant to 46 U.S.C. app. § 1715, the Federal Maritime Commission (the “Commission”) granted Sinotrans Container Lines Co., Ltd. (“Sinotrans”), which at that time was a controlled carrier, an exemption from the publication requirements of 46 U.S.C. app. § 1708(c).¹ Sinotrans has since been removed from the Commission’s list of controlled carriers. As a result, the Commission is now revoking this exemption.

I. BACKGROUND

Sinotrans Container Lines Co., Ltd., then doing business as Sinolines, was designated as a controlled carrier on June 9, 2003.² On April 1, 2004, the Commission granted Sinotrans an exemption from 46 U.S.C. app. § 1708(a), which states that “a rate, charge,

¹ These sections of the statute have since been renumbered to 46 U.S.C. §§ 40103 and 40703, respectively.

² See 68 FR 34388.

classification, rule, or regulation of a controlled carrier may not become effective, without special permission of the [Commission], until the 30th day after publication.” Docket No. P6-03, *Order Granting Petition*. This exemption allowed Sinotrans to reduce its tariff rates effective upon publication. On August 27, 2012, Sinotrans was removed from the list of controlled carriers because it no longer operated as an ocean common carrier in the U.S.-foreign trades.³

On May 30, 2025, the Commission published in the Federal Register a notice of intent to revoke the section 40703 exemptions to controlled carriers that were no longer on the Commission’s list of controlled carriers.⁴ The Commission invited public comments on the proposed action; no comments were received in response to this notice.

II. DISCUSSION

The Commission has the authority under 46 U.S.C. § 40103 to grant exemptions for agreements or activities if the exemption will not result in a substantial reduction in competition or be detrimental to commerce. The requirements of 46 U.S.C. § 40703 specify that controlled carriers’⁵ rates, charges, classifications, rules or regulations may not become effective until the 30th day after publication, unless the Commission grants an exemption. In addition, “[t]he Commission may attach conditions to an exemption and may, by order, revoke an exemption.”⁶ In granting exemptions

³ See 77 FR 51801.

⁴ See 90 FR 23052.

⁵ 46 U.S.C. § 40102(9) (defining a controlled carrier as “an ocean common carrier that is, or whose operating assets are, directly or indirectly, owned or controlled by a government, with ownership or control by a government being deemed to exist for a carrier if—(A) a majority of the interest in the carrier is owned or controlled in any manner by that government, an agency of that government, or a public or private person controlled by that government; or (B) that government has the right to appoint or disapprove the appointment of a majority of the directors, the chief operating officer, or the chief executive officer of the carrier.”)

⁶ See 46 U.S.C. §§ 40103(a), 40704(a).

from section 40703, the Commission has declined to grant permanent exemptions because doing so would impinge on the Commission's authority to revoke them.⁷

In 2004, sections of the Shipping Act of 1984 were rearranged and renumbered. Exemptions from Section 9(c) of the Shipping Act that had been codified under 46 U.S.C. app. § 1708, allowing changes to controlled carriers' changes in rates, charges, classifications, rules or regulations to become effective more quickly than 30 days after publication with Commission permission, were moved to 46 U.S.C. § 40703. The statutory language of the two sections is nearly identical. In addition, previous Commission explanations suggest that the Commission did not view exemptions from section 40703 differently than exemptions from 1708.⁸ As such, the Commission has viewed the exemptions granted from section 1708 to be equivalent to the exemptions granted from section 40703.

Sinotrans is no longer on the Commission's list of controlled carriers; it was removed from the list because it no longer operated as an ocean common carrier in the U.S.-foreign trades. As such, the

⁷ See, e.g., Petition of China Ocean Shipping (Group) Company for a Partial Exemption from the Controlled Carrier Act, Docket No. P3-99, *Order Granting Petition in Part* (April 1, 2004) ("The Commission declines to make this exemption permanent, as the Petition requests... a specific provision for 'permanence' of this Order would abrogate the Commission's authority under section 16 and its obligations under section 9 [of the Shipping Act of 1984]... The Commission retains its full authority to revoke the instant exemption subject to the requirements of section 16 of the Shipping Act of 1984, 46 U.S.C. app. § 1715.")

⁸ For example, in granting a section 40703 exemption for United Arab Shipping Company (S.A.G.) and Hainan P O Shipping Co., Ltd., the Commission stated that it "has previously granted exemptions from § 40703," and cited to some exemptions that were granted from section 40703 and to others that were granted from section 1708. See Petition of United Arab Shipping Company (S.A.G.) for an Exemption from 46 U.S.C. Section 40703, Docket No. P1-14, *Order Granting Petition* (July 16, 2015); Petition of Hainan P O Shipping Co., Ltd. for an Exemption from the First Sentence of Section 9(c) of the Shipping Act of 1984, Docket No. P1-10, *Order Granting Petition* (December 9, 2010).

exemption it was granted from 46 U.S.C. § 40703 no longer applies because Sinotrans is no longer a controlled carrier. As a result, the Commission is revoking this exemption. The revocation of this exemption does not prevent Sinotrans from petitioning for the exemption again if its status changes.

III. CONCLUSION

The Commission hereby:

REVOKES the exemption from the requirements of 46 U.S.C. § 40703 granted to Sinotrans Container Lines Co., Ltd. under 46 U.S.C. § 40103.

By the Commission.

David Eng
Secretary